The Social Radars

S3: Ron Conway, Founder, SV Angel

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Jessica: I'm Jessica Livingston, and Carolynn Levy and I are the Social Radars. In this podcast, we talked to some of the most successful founders in Silicon Valley about how they did it. Carolynn and I have been working together to help thousands of startups at Y Combinator for almost 20 years. Come be a fly on the wall as we talk to founders, and learn their true stories. So, Carolynn, today we have the most special guest we've had on the show so far: Ron Conway.

Carolynn: Wow. Welcome Ron.

Jessica: Who is one of the most famous angel investors, and historically, incredibly important to Silicon Valley. He has witnessed web one, two, and three. He's been through it all. He's seen so much. And our plan is to talk to Ron. We're going to start at the beginning.

Carolynn: Okay.

Jessica: And we're going to keep going, and we're going to have several episodes, and we're going to follow his unbelievable career, and learn about all the different things he's been involved in, because I can honestly say no one else in Silicon Valley has witnessed as much as you have, Ron. So, welcome.

Carolynn: Welcome.

Ron: Thank you. It's a pleasure to be here.

Jessica: So Ron, I want to go back to your childhood. There's some elements of it that I think are important to know about. Born and bred in San Francisco. One of 12 children.

Ron: Yes, and I have a twin.

Jessica: And a twin, Carolynn.

Carolynn: A fraternal, identical?

Jessica: Identical.

Carolynn: Identical twin.

Jessica: So they're like two people looking like Ron.

Carolynn: Two Rons. Wait, what's his name?

Jessica: Rick.

Carolynn: Rick and Ron. Okay.

Jessica: So, you come from an entrepreneurial family though. Didn't your grandmother ship oil from Sacramento?

Ron: Yes. Actually, my grandmother, and my father, both in the shipping industry, think of probably 75 years ago, a woman starting a company in San Francisco. But my grandmother was probably one of the first female entrepreneurs ever in the city of San Francisco, prancing around the financial district as a group of one. But she started a company that basically took the oil that was being drilled in the Sacramento Delta area, put that oil on barges, and took that oil down into the San Francisco Bay, to be refined.

Carolynn: How did she get into that?

Ron: I actually do not know how she got into it.

Carolynn: Okay.

Ron: But she was an entrepreneur, and then my father worked at American President Lines in a traditional job, but rose up the ranks. But when the era of shipping containerization came about, he saw an opportunity to start a company that built the shipping containers. Before that, literally goods, box by box were loaded onto ships to be shipped around the world. And American President Lines was one of the companies that pioneered, "Why don't we put all the little boxes into one big box?"

Carolynn: yeah.

Ron: Which is a shipping container, which started a whole new industry. And my father started a company that built, and leased those containers, took four years to pay. They had a twelve-year life. It was a nice business that he later sold to Gilbert Flexivan, which was a bigger company in the shipping container business.

Jessica: But the shipping container, that was a technological revolution.

Ron: Exactly, exactly.

Jessica: Okay.

Ron: So, shipping oil around, probably not too innovative or disruptive, but the shipping container industry that my father was in was an extremely disruptive, innovative idea. Labor unions at the time who loaded the little boxes one by one, did not like this. It was extremely disruptive, just like taxi drivers didn't like Uber.

Jessica: Yeah.

Ron: Members of the labor union who loaded the boxes onto the ships didn't like the shipping containers, because it did cut a lot of jobs.

Jessica: Wow.

Ron: But it was very innovative.

Jessica: And made things efficient.

Ron: Yes, much more efficient. You could track everything much better. And the containers got loaded onto a truck chassis, and that truck chassis took the boxes to the ultimate destination. It took out many, many steps.

Jessica: Is this in the '60s?

Ron: This is probably in the late '50s, early '60s.

Jessica: Early 60s.

Carolynn: And now they become tiny homes.

Ron: Exactly. Now they're being used for ADUs, accessory dwelling units.

Jessica: Right.

Ron: And storage.

Jessica: And storage, yes. So, I need to ask you, you were kind of left to your own devices as a kid, in the summertime, kind of thing, right?

Ron: Well, when there's 12 of you, you are left to your own devices. But our parents said, when I wanted to buy a car, my father said, "You can buy a car anytime you want." Most of the other kids, the parents said, "Oh no, you can't have a car." But then I had to come to the conclusion, "Oh, if I want a car, it means I have to go get a job, get the money to buy the car."

Carolynn: Right.

Jessica: What job did you get?

Ron: Dish washing.

Jessica: Oh my gosh.

Ron: I actually washed dishes at the place we ultimately sent our kids to school, Sacred Heart. By then, we had moved to Atherton. So we were born in San Francisco, but in high school, the family moved to Atherton, and I was a dishwasher for $1.65 an hour, but it bought a car.

Carolynn: Where were you in the birth order? Right in the middle?

Ron: Right in the middle.

Carolynn: Okay. So you had older siblings, younger. Did you have to take care of your younger siblings?

Ron: The older sisters took care of the younger siblings, for the most part.

Jessica: I mean, Ron didn't you do things like put them into the washing machine, and things like that?

Carolynn: Older brother stuff?

Ron: We pulled pranks on each other. Some of us took a washing machine ride, or a ride in the dryer, or a ride down the laundry chute, since we were in a two-story house.

Carolynn: Oh, I remember those old laundry chutes. The old timey ones.

Ron: Maybe a few minutes in the freezer.

Carolynn: Oh my gosh. Wow.

Ron: I assume it was a hot day.

Jessica: Tell me about going to the zoo though, because this is a classic. Carolynn, you're not going to believe this.

Ron: So during the summer, my mother wanted the house empty. So, we all got paper bags packed with lunch, and we were left to our own devices. We lived about four blocks from the San Francisco Zoo, so that's where we ended up, and we knew more about how to get around the in and outs of that zoo than the zookeepers did.

Carolynn: Oh, I bet. I bet.

Ron: And we found ways into some of the animals' cages, et cetera, et cetera. When you're there all summer, you need to find things to do.

Carolynn: The zoo kid menaces.

Jessica: Weren't you in the monkey cages or something?

Ron: We found our way on to...

Carolynn: Did all 12 of you come at once? Do you all roll up to the zoo, and it's like 12 menaces, just-

Ron: Oh no, we'd go in a group. Yeah. Yeah. We'd just walk up in a group. Yeah, we would all get kicked out of the house at the same time.

Carolynn: At the same time okay.

Jessica: And she'd say, "Don't come back till dinner."

Carolynn: Don't come back till dinner.

Ron: "Come back when it's dark." Right before dark.

Jessica: I have to throw this in, because it's one of my favorite things. Dinner every night of the week was always the same, right? What was it?

Ron: Well, there was a routine on the menu. Sunday was usually a fancy leg of lamb or something, and then Monday would be leftovers. Saturday was burgers, Thursday, hot dogs. Friday, since we're Catholic, tuna salad. So, we had a routine.

Carolynn: I feel like that reduces the mental load, so why not?

Ron: Exactly.

Jessica: It's got to. Yeah. Simplify things.

Ron: Unless you didn't like it for some reason.

Carolynn: Yeah.

Jessica: And I'm just curious, because you are a very tenacious person. I think anyone who's known you knows, you're very tenacious and determined. Was there anything from being one of 12 kids that made you extra determined?

Ron: It might've made me more independent.

Jessica: Okay.

Ron: And fight for my own interests.

Jessica: Okay. Yeah.

Ron: Because I don't know the other way. It's hard to tell, but I think it does make you more independent.

Jessica: Yeah. And maybe more of an advocate for yourself.

Ron: Yes.

Jessica: Because otherwise no one's going to help you if you don't help yourself.

Ron: Everyone had to be an advocate for themselves.

Carolynn: So going back, where did you wash dishes? I mean, is it a place that's still in business?

Jessica: At Sacred Heart school.

Carolynn: Oh, actually, oh sorry, okay. Okay.

Ron: Sacred Heart school in Menlo Park.

Carolynn: I was thinking that's where you guys went to high school, but you didn't go to high school.

Ron: Which is still there. I went to Menlo Atherton High School.

Carolynn: Okay. And then you washed dishes at Sacred Heart.

Ron: Okay. Exactly. That's how I got my car.

Carolynn: Okay.

Jessica: I thought you worked at a golf club, and picked up balls.

Ron: Well, that was even earlier. That was in San Francisco, when I was probably 11 or 12 years old, when we worked at the driving range, shagging balls that the machine couldn't pick up.

Jessica: And wouldn't people try to hit you with the golf ball?

Ron: Yes. When we were out there, of course, some of the nasty old men used us as a target, and sometimes they hit the target.

Jessica: Oh, no.

Ron: Thank God we wore helmets.

Jessica: You wore the helmet, did you?

Ron: You had to. You had to.

Carolynn: Can you imagine? That's how mean.

Ron: This is before OSHA, but we had to wear helmets.

Jessica: Oh, my goodness

Ron: It was common sense to wear a helmet.

Carolynn: Yeah.

Jessica: And then you went to San Jose State?

Ron: Went to San Jose State, majored in political science, and acquired some interest in politics. I had to do a paper. So, I did it. Funny enough, I did a paper about corruption in politics, and the candidate I wrote about, the paper actually spurred an investigation about that candidate.

Jessica: Oh, wow.

Carolynn: Really?

Ron: So I got an A in that class.

Jessica: Nice.

Carolynn: Oh, wow.

Jessica: Was it a San Francisco person?

Ron: No, no. It was a congressional candidate in the South Bay.

Jessica: Oh, wow.

Ron: Long time ago.

Jessica: Yeah. So, your interest in politics was piqued there. I want to then talk about your job that you went to right after college, which was at National Semiconductor.

Ron: Yes.

Jessica: How did you make that leap? Did they come recruit at the school, and you said, "This looks like a good company?" Or were you in awe of this company, or how did that happen?

Ron: No, I just wanted a job coming out of school, and one of my brothers was offered a job at National Semiconductor, and wasn't interested, and I basically said, "Hey, I'm interested. Shift the interest over to me." Which he did, and I got hired very, very quickly. It was an entry-level position.

Carolynn: Was it sales?

Ron: National couldn't be too picky.

Carolynn: What was the role?

Ron: The role was economic research analyst.

Carolynn: Oh, that's actually... Sounds like a very cool role for right out of college.

Ron: Yeah. Yeah. It was a little daunting, because I wasn't sure if I had to do a bunch of economic research, but it was more just doing a lot of reading, coming to conclusions, going with my boss to Washington, D.C. So, one of my first business trips ever was to go see the Federal Reserve Bank, because even though National was a small company, they had a couple of thousand employees, and they knew that if they could predict the next recession, and they could lay off people sooner, that would be a feather in their cap. And so this one vice president that I worked for, that was his goal. And we met the goal, we met the Federal Reserve and decided that we were going into a recession, alerted the management of the company, and National laid off people sooner than other people.

Carolynn: Wow.

Jessica: And what year was this about?

Ron: This is the early '70s.

Jessica: Okay. Wasn't there... Who was the CEO when you were there?

Ron: Charlie Sporck.

Jessica: Okay.

Ron: Who to this day, he's an icon, because he instilled work ethic in people. He was a true entrepreneur. The amazing thing about National Semiconductor is it was sitting in the middle of a bunch of fruit orchards. This is in the days where a semiconductor company would plunk down, and it would be another half mile before another one built their wafer fab in Silicon Valley. But today it is all buildings. But back then, you literally drove through fruit orchards to get to work, and then this big concrete building sitting there, no windows in the front, because he was very frugal and said, "Hey, you got to wash windows, so we'll just put windows on one side of the building. We'll save money." So when you drove up, it was all concrete. All concrete on the front, windows in the back.

Carolynn: So he was the founder and the CEO.

Ron: He was the founder and the CEO.

Carolynn: Okay. Okay.

Jessica: He was a visionary, right?

Ron: Well, of course.

Jessica: Yeah. Yeah, yeah.

Ron: Of course. Yes.

Jessica: Okay.

Ron: Because he went and hired engineers that specialized in building different kinds of semiconductor chips that competed with the rest of the market. But he instilled work ethic. If somebody was sitting at their desk, reading a newspaper, this is in the days before HR departments existed, he would literally pick them up by the collar, and throw them out of the building.

Jessica: Wow. Fire them for reading the newspaper?

Ron: Oh, he wouldn't even discuss it. He'd just pick them up and throw them out of the building, and they had to assume that they did not have their job anymore.

Carolynn: I would assume that would've only happened once though. Like, you saw your colleague-

Ron: No, no, no, no, because new hires wouldn't know.

Carolynn: Oh. Oh, wow.

Ron: If they didn't know, then they made a mistake. But watching... I actually loved it, because I said, "Hey, you come here to work, and let's get work done." And if somebody doesn't want to be part of the team and work like everybody else, he would just pick you up and throw you out.

Carolynn: Did you work 9:00 to 5:00 or did you stay in the office late, and come early, kind of thing?

Ron: Oh no, this was... National was a super competitive company. Come in early, and stay late.

Carolynn: Leave late. Yeah. Okay.

Ron: So, I've never worked at a 9:00 to 5:00 job, other than dishwashing, where you punch in and punch out.

Jessica: So I mean, remember, Carolynn, this is in the early '70s.

Carolynn: Right.

Jessica: Right? So the fundamental ideas of the tech business are kind of getting started here in Silicon Valley, and Ron was there. And so, you had an early education at National

Semiconductor. So, what were some of the things that you learned there that you took away to your future?

Carolynn: Before you answer that, how long did you stay there?

Ron: I stayed there from like '73 to '79... 6 years.

Carolynn: Six years. Okay. Okay. And then?

Ron: So I was there for a while.

Carolynn: Yeah.

Jessica: Yeah.

Ron: And worked my way up the ladder.

Jessica: So you got promoted?

Ron: I got promoted a lot.

Jessica: Okay.

Ron: I got promoted quickly.

Jessica: Because you were such a good worker.

Ron: Good worker, and in some aspects, a strategic thinker.

Jessica: Yeah.

Ron: So, I got promoted, and I was in my early 20s. I was probably 22, 23 when I started there, and this is at the time that catalytic converters were required in cars, and in order to track the carbon, it took semiconductor technology to do that.

Carolynn: I didn't even know that was a thing in the '70s, so that's a surprise right there.

Ron: Yeah. And National, for whatever reason, lost all the big bids. And these were hotly contested, because these were... Even at the time, like $100 million contracts for the semiconductor chip set to meet the catalytic converter laws. National lost all those, but they still wanted to have an automotive marketing group. So, I rose in the ranks in marketing. As kind of a throwaway, they said, "Hey, Conway, you can run the automotive group." After losing all the contracts.

Carolynn: So you had nothing to start with.

Ron: Thank you. They were throwing me a bone, so to speak.

Jessica: Oh, wow.

Ron: And this is where the strategic part came in, National was very good at building CMOS chips. It's a type of semiconductor, CMOS, and we were really good at it. So, we went and found out that Motorola did not have good CMOS technology, and the chip they had to build in the chip set for the catalytic converter, theirs didn't work. We found that out early enough that we went to our CMOS engineers and said, "Go build that chip." And we had a chip that did similar things that worked. So we went to General Motors and said, "Hey, we have something similar that works. We can build a custom chip, and cost reduce it, but we won't do that unless you let us sell you six or seven other chips." So, it was a package deal. Well, they had to have the CMOS chip, so we won that deal, and became a significant business for National, and the most profitable business for the company at the time.

Carolynn: So more profitable than personal computers, for example?

Ron: Well, PC wasn't even out then.

Carolynn: Not even a thing yet. Okay. So we're way before that.

Ron: We're even before the PC.

Carolynn: Okay.

Ron: But it became a great part of their business.

Jessica: And you were running that?

Ron: And I was running the marketing.

Jessica: Okay.

Ron: I was the marketing strategist. Flew to Detroit, and Kokomo, Indiana, and all the places GM... We also sold to Chrysler and Ford, but...

Jessica: All the automotive companies.

Ron: All the automotive companies. But General Motors was the big Kahuna.

Jessica: Okay.

Ron: If you close them. And through this leverage, we became as big as Motorola, which was the other behemoth in this market. And Charlie Sporck even traveled with me. And at the time, Charlie Sporck didn't carry any money around, so you get to the airport, I had my wife waiting for me, he didn't, and he said, "Hey, either you give me money," and I didn't have any money, "Or you're driving me home."

Jessica: Did you drive him home?

Ron: Of course.

Jessica: Gayle drove him home?

Ron: Yeah, we had to.

Jessica: Oh my goodness.

Carolynn: Wow.

Jessica: Okay. So this is-

Ron: And he liked the idea that there were these young Turks winning this business. Because there were older people in the company who thought we were a bunch of renegades, and would try and find things wrong, but it was the highest margin business in the company, so it wasn't much you could find wrong with it.

Carolynn: Okay. Really quick, this may be a really silly question, but at the time, did Charlie own 100% of the company?

Ron: Oh God, no.

Carolynn: Okay.

Ron: No. He had investors.

Carolynn: Okay.

Ron: It was literally like a venture backed company.

Carolynn: Well that's what I'm wondering. But did employees get any piece? Any equity?

Ron: Yes. We all got-

Carolynn: You all got equity.

Ron: Everyone in the company got equity.

Carolynn: Okay. Okay.

Ron: And it's what made the down payment on our first house.

Carolynn: Okay.

Ron: It was a National Semiconductor stock.

Carolynn: Stock. I just wasn't sure if that was a thing at that time.

Ron: No, equity was very important.

Carolynn: Okay. Okay.

Jessica: Even back then.

Ron: Oh yeah. Yeah.

Jessica: It was a thing.

Ron: You would compete just the way people do today. "I'll give you more equity if you come to my company."

Carolynn: Okay.

Ron: That was already en vogue.

Jessica: And do you think that was limited to the Bay Area? Or do you think all over the country equity was becoming more and more important?

Ron: I feel like the technology industry really used it as a competitive lever. Because of the growth, and the increase in the stock price, these shares were all worth something in more mature markets like the East Coast and the Midwest, stock options in General Motors, nice, but they're not going to see the kind of growth where you can make a down payment on a house.

Jessica: Right, right. Okay. So these were high growth companies here.

Ron: Oh yeah, yeah.

Jessica: Sort of an early stage. So what else did you learn at National Semiconductor that you think you carried over throughout your life?

Ron: Well, I learned work ethic. I learned the value of relationships. So, early, early on, I learned the value of having a true, honest relationship with customers. So, because I was in marketing, and at National Semiconductor, marketing and sales was very blurred. Everyone was really in sales, meeting the sales targets. And so, I knew that in order to win these deals, I had to have good relationships with these buyers in the companies, and that's when I literally started making friends. It wasn't just a buy-sell relationship, it was a relationship where I would stay at these people's houses. We became that close, and when push came to shove, we would win the deal, because we had a relationship with the buyer.

Jessica: Yeah.

Ron: And that has stuck with me my entire career. It's all about relationships.

Jessica: I don't think I know anyone that I've witnessed that has better relationships than you.

Ron: But the best lesson from National- Relationships matter.

Jessica: Yeah. I want to pull on this thread a little bit, because I think we'll find, as we tell stories throughout the rest of your career, so much has to do with relationships, and working out a lot of things that you've been involved in working out. What secrets can you tell about developing relationships? Is it checking in with people? Is it taking them out to dinner? Is it knowing their spouses, and children's names?

Ron: It's all of the above. Number one, you have to want to do it. So, you have to have a personality where you want to meet new people, you're authentically interested in learning about them. And I always took that approach, just because it's a lot more interesting than just treating them like a buyer. So, definitely, definitely taking them out to lunch, taking them out to dinner. In these days, drinking at lunch was a complete, common practice. So, if you were close to closing a deal, you wouldn't want to do that in the office. You would go to lunch, or dinner, but even at the lunches, you would drink alcohol, and get to a verbal agreement, and then get to the fax machine with a written agreement.

Jessica: Would you always get it in writing?

Ron: There was no email.

Jessica: No email back then to confirm, because you always tell people to get it in writing.

Ron: Yeah, I'm sure even at National, I got burned. It doesn't take long before you get burned by not putting something in writing.

Jessica: Yeah.

Ron: And for me, early on, especially, at Altos Computer, any agreement that involves monetary value, you just put it in writing, and it can be on a scrap of paper. It doesn't have to be in a contract. You don't need a lawyer for it. Just confirm it in writing, one-on-one with the person who made the statement.

Jessica: So back in those days, after the lunch, the booze filled lunch, you'd go to the fax machine.

Carolynn: Three Martini lunch.

Ron: Yeah.

Jessica: You put it in a fax.

Ron: And it was usually handwritten.

Jessica: Yeah.

Carolynn: Yeah.

Ron: Wouldn't bother to type it.

Carolynn: I wonder if we should move on to Altos.

Jessica: Well, can we digress just for a minute?

Carolynn: Yes, yes.

Jessica: Because you mentioned Gayle. So if we can just talk quickly. How did you meet, and when did you guys get married?

Ron: We met in a bar, which is how a lot of people meet, got married like three years later, and it was while I was at National Semi. So this is relevant, because it was at National Semi that we got married, but I already had a really good work ethic. I flew in the night before I got married, got married, went on a one-week honeymoon, and left the next day to go back to the East Coast. By then... That was earlier in the career. I was in computer marketing, marketing to all the computer companies, and National sold a truckload of chips to IBM, and I literally commuted to Poughkeepsie, New York.

Carolynn: Wow.

Jessica: Yeah.

Ron: But then we had our first child, and that's when I got recruited to Altos, and it's when we bought our first house.

Jessica: Okay. Okay.

Ron: So, my mother calls me up and says, "So, you have a new baby being born, you're somehow not happy where you're at, or something, getting a new job, and you're buying a new house, you're out of your mind. Why don't you do one at a time?" And I said, "That's not how it worked. All these things..."

Jessica: It's not how life works.

Carolynn: Yeah. Yeah.

Ron: It's not how life works.

Jessica: So you had money for a down payment on a house from your time at National Semiconductor.

Ron: From the National Semi.

Jessica: Okay.

Carolynn: And you bought a house on the peninsula?

Ron: Yeah, I bought a house in Palo Alto, across from Gunn High school.

Jessica: Okay. So, take me back to, you got recruited to Altos. Were they super early stage? Was this sort of a risky move? You were joining early stage, right?

Ron: Yeah, Altos was as early as it can possibly get. So at National Semiconductor, the only thing I didn't like about the company is they never paid me commensurate with what I thought I had accomplished. And I showed that to the company. I said, "Hey, this is the most profitable business. I know what other executives get paid, even though I'm in my 20s, just pay me what that guy gets."

Jessica: Yeah.

Ron: And they couldn't fathom that. And then a couple of people left National Semiconductor to go be part of the founding team at Altos, and they're the ones that told Dave Jackson, the founder of Altos, "Hey, we have this go getter young guy who knows sales and marketing, why don't we bring him in?"

Carolynn: And the comp that you were complaining about was cash and equity. So they weren't like, "Oh, we'll just throw you some more equity to shut you up." It was more like they were just like, "No, you're only 20. It's not a meritocracy. Live your life here, and then maybe we'll compensate you accordingly."

Ron: Yeah, I wanted more of both.

Carolynn: Yeah, yeah, yeah. Got it. Okay.

Jessica: Okay.

Ron: So, at Altos, the play was for equity. When I went there, I got 2% of the entire company.

Jessica: Wow.

Carolynn: Wow. And you were young.

Ron: I was in my late 20s.

Jessica: Yeah.

Carolynn: Okay. And Gayle was okay with this move. She's having a baby. You've just bought a house.

Ron: Exactly. She's like, "If you have to."

Carolynn: Right.

Ron: She knew I was ready for the next career step, but at the interview, there was no office furniture delivered to the five room building on... It was right down the street from National Semiconductor. And so, I was interviewed. We all sat on the floor.

Carolynn: On the floor.

Ron: For the interview. And then by the time I got hired, and went to work, my desk was next to the copy machine, and I was like a VP. This was a startup. It was awesome.

Jessica: First tell Carolynn and me what Altos did?

Ron: So, Altos was a microcomputer company that was disrupting the mini computer industry. So, back then, DEC, Data General, Wang, Prime Computer, they sat underneath IBM... IBM on the mainframes, and then you had this whole group of mini computer companies.

Jessica: Okay.

Ron: But then, with regular Intel chips, you could develop single board microcomputers, that basically did the same thing as the mini computer for a 10th of the cost. So, this was extremely disruptive to the mini computer industry. So, the founder of the company had picked new technology, single board computers that did everything a mini computer did, and Gary Kildall had come out with a CPM operating system. So, we have iOS on the phone, and the Unix operating system. What allowed this industry to flourish is there was also a commercial operating system that tons of software developers could develop software under, whereas the mini computer companies all had custom software. So, this was extremely disruptive.

Jessica: Okay.

Ron: Building a whole cottage industry of app developers, developing under this CPM software. And we also adopted the Unix operating system. But that was how we grew.

Carolynn: And at the time, was Altos the only company that was building these microcomputers?

Ron: Oh, no. There were-

Carolynn: Lots of competitors?

Ron: Five or 10 companies.

Carolynn: Okay. Okay.

Ron: In fact, Bill Gates was involved with one of them, I think called Altair

Carolynn: Oh yeah.

Ron: It had a single board computer. So, there was the revolution of single board computers, but they weren't personal computers. These were to compete with the mini computer industry.

Jessica: So are engineers at big companies using these? Who's the...

Ron: Oh, yeah. Yeah.

Jessica: Okay.

Ron: And big companies would operate all their accounting off of these mini computers.

Jessica: Okay. Okay. I think with the mini computers, Data General, that was from the Soul of the New Machine. Do you remember that book?

Ron: I think so.

Jessica: Yeah.

Ron: Yeah, yeah.

Jessica: Okay.

Ron: And DEC was the biggest.

Jessica: Okay.

Ron: So, what did I do? I went and hired a very, very senior person out of DEC, and I said, "Show us how to do it. Show us how to market these things."

Carolynn: How did you recruit that person?

Ron: I flew to his house on Cape Cod. Irwin Jacobs was his name. Now, he had just retired, which... Because if he was there, it probably wouldn't be possible. But he had just retired, even though he was friends... I think it was the Olsen brothers that founded DEC. He was friends of theirs, and everything, but he was very open to disruption. He said while he was at DEC, they bought an Altos computer and ripped it apart and said, "How in the hell are they doing this?" And he goes, "I helped unwrap your machine. You are disrupting. And even though I love DEC, it's where I made my money and my living, I want to help you."

Carolynn: Oh, wow.

Ron: And so he helped us with the distribution channels, with the strategy. If I didn't know it myself, I knew where to go find it.

Carolynn: Did you make him-

Ron: This guy actually worked as a full-time consultant-

Carolynn: I was just going to say, did-

Ron: For several years.

Carolynn: Did you make him move, or did... From...

Ron: No, we didn't make him move,

Carolynn: Okay, that's-

Ron: But he eventually flew out often enough that he did like it, and rented a place in Los Altos for a couple of years, while he was consulting.

Jessica: How do you get to this guy's house on Cape Cod? Do you just say, "I want to talk to you. I'm going to come to your house." And he's like, "Okay?"

Ron: Well...

Jessica: I wouldn't have the nerve to do that.

Ron: I knew the name, and I just said, "Everything I read about this guy, this is the guy." He's the one who built the marketing engine for DEC.

Jessica: Okay.

Ron: So, I knew his name, and then I just hunted down his phone number. He happened to be on Cape Cod. He lived in Boston in the winter, Cape Cod in the summer. And his deal to me is he goes, "I know exactly who you are." And he said, "I ripped it apart, one of your computers. I couldn't believe how much technology fit in that little box." And he goes, "I'm up in Cape Cod, anytime you come up here, I will pick you up at the airport, bring you to my house, feed you a drink, and take you back to the airport." And so I flew to Hyannis on this horrible, tiny airplane.

Jessica: Cape Air, I bet. Cape Air, from Boston?

Ron: Had to be. Had to be. From Boston. And it was love at first sight. He loved the challenges that he could solve. He and I clicked immediately from the relationship point of view.

Carolynn: Oh, wow.

Ron: And off we went.

Carolynn: Okay. And so just to keep on the timeline, this is in the early '80s at this point, yeah?

Ron: Yep. Yeah.

Carolynn: Okay. So you took the job at Altos, you started working. You hire this guy, and then talk about the trajectory of Altos.

Ron: Well, Altos was 1979. So, 45 years ago. Through his knowledge, we built a distributor network around the world. The founder of the company was English.

Jessica: Dave Jackson.

Ron: He basically built the Europe business, and I focused on domestic. So, my first title was head of USA sales and marketing.

Jessica: Okay.

Ron: So, I built a distribution network in the United States, which allowed us to grow very, very quickly. After three years, we were number one on the Inc 100 for small businesses.

Carolynn: You're still private at this point?

Ron: Private, and profitable since day one.

Carolynn: Wow. Wow.

Ron: Dave Jackson was a frugal Englishman, who...

Carolynn: They're frugal.

Ron: It was just in his blood that we will make money on the first one.

Carolynn: Yeah.

Ron: So we never had to deal with the crossover of cash flow or profits. It was there right from the beginning. And that made it easy to go public. After three years, I got there in '79, we went public in '82.

Carolynn: Wow.

Jessica: Three years, Carolynn.

Carolynn: Three years.

Jessica: They go public.

Ron: And when we went public, we were the fastest growing small company in America according to Inc. Magazine.

Jessica: Yeah.

Carolynn: And how small were you at the time? When you went public, how many employees?

Ron: Probably sales of $60 million a year.

Carolynn: Wow. And how many employees?

Ron: At that time, we probably had 300. And that included all the people in the factory.

Jessica: Right. What number employee were you, roughly?

Ron: Oh, I was probably number five.

Jessica: Wow. Okay.

Ron: Yeah, yeah.

Jessica: And did you like Dave Jackson?

Ron: Yeah, we were like brothers. And the wives became best friends. So, here we are, working seven days a week, but in the office, five days usually traveling. But if we're in the office, it's from 7:00 in the morning till 9:00 at night. And as crazy as this sounds, we couldn't wait to go out to dinner every single Saturday night together. You would think we would say, "Hey, let's have a break from each other." The only break was Sundays, and their kids babysat our infants. So this was... Altos was like a family.

Jessica: Yeah.

Ron: It was work hard, play hard, very, very goal-oriented. When we shipped 1,000 computers, the month we shipped 1,000 computers, the guy that ran the factory floor got a brand new Porsche. We called the Porsche dealer. We did outlandish things. Called the Porsche Dealer, "Bring the car down right now. The car's sold. We'll give you a check as soon as you get here." And as soon as he put the label on the thousandth computer for that quarter, the Porsche pulls up. The entire company erupts into a party. We had happy hour every night.

Carolynn: It sounds so fun.

Ron: So there was plenty of alcohol in the building, but that night we even took over a restaurant in San Jose, and...

Carolynn: Wow.

Ron: The company was completely focused on the goals, every single person.

Carolynn: And celebrating them.

Ron: Yeah. And celebrating them.

Carolynn: Yeah.

Ron: The other thing about National Semiconductor that I want to mention is that, so you look at technology in Silicon Valley, it started with the semiconductor company.

Carolynn: Yes.

Ron: And then, along came computer hardware companies like Amdahl Computer, which competed with IBM. Amdahl was headquartered in Silicon Valley. And then along came this little company called Apple, a hardware company.

Carolynn: Yeah.

Ron: These hardware companies, when they got founded, the only place they could go to get executive talent was the semiconductor industry.

Carolynn: Oh, yeah.

Ron: So, the first president of Apple computer is Mike Scott. Mike Scott was the head of hybrid computer chips at National Semiconductor.

Jessica: And wasn't Mike Markkula also?

Ron: Apple also hired Mike Markkula, who I think was the head of marketing out of Intel.

Jessica: Okay.

Ron: Okay?

Jessica: Okay.

Ron: So every executive in the next industry, hardware, the only place they had to go was executives out of the semiconductor industry. The first VP of marketing of Apple ever was Gene Carter. He was the VP of marketing at National Semiconductor. So, I'd go to all these guys' going away parties and say, "Isn't this interesting?" And then lo and behold, then the software industry started to blossom. Microsoft, Symantec Software. Where did they go to hire their executive team? They went to the hardware companies.

Carolynn: Hardware companies, yeah.

Ron: But it all started, the executive ladder, and genealogy, and ancestry tree of Silicon Valley started from the executives that built the semiconductor industry. Without them, none of this would be here.

Jessica: Right.

Carolynn: Yeah.

Jessica: And that's why I'm so excited to be talking to you, because you were embedded in that world.

Ron: Exactly.

Jessica: And you're here now.

Ron: And I appreciate how valuable it is, but fast-forward, here we go again. The semiconductor industry was kind of, you can't do without them, but not a lot of focus on the semiconductor industry until the artificial intelligence industry, which is blossoming now, and Nvidia, Jensen Wang, Bay Area person, founded in Silicon Valley, the AI industry would not exist without Nvidia GPUs. And so, here we go again. I feel like the semiconductor industry is getting another day in the sun, where everyone's reminded, without semiconductors, none of this exists.

Jessica: Yeah. Oh my gosh.

Carolynn: It's full circle.

Jessica: Back to Altos. Let's talk about the IPO.

Ron: So, after three years, the fastest growing company in America, we went public. We were venture backed by Sequoia Capital, and our attorney was Larry Sonsini. One thing about Dave-

Jessica: Carolynn worked at Wilson Sonsini.

Carolynn: Yeah, that's where I worked for 14 years.

Ron: That's awesome.

Carolynn: Yeah.

Ron: That's awesome. So, Dave Jackson was... He had a swagger, and if I'm going to have a VC, I'm going to get the best VC, or we'll just keep bootstrapping it. We did not ever spend a nickel of Sequoia's money. We were already profitable. But the bankers told them, in order to have a high pedigree IPO, you need Sequoia Capital behind you, and you need a great law firm.

Carolynn: Yeah.

Ron: Now, Wilson Sonsini was still small, but Dave Jackson went to Wilson Sonsini and said, "Larry, you are the working lawyer, and you are writing the prospectus." Now, Dave didn't want to write the prospectus. Larry Sonsini and I met every Saturday, and wrote the Altos Prospectus.

Carolynn: I've written so many S1s, so I know exactly that process.

Ron: Yeah, it was one of the first... We were one of the early IPOs out of Wilson Sonsini.

Carolynn: Oh, I believe it. Yeah, yeah, yeah.

Ron: But then we had the horsepower of Sequoia, and then Don Valentine said, "Hey, I want Wilf Corrigan," another semiconductor... Don Valentine worked at National Semiconductor. He was the head of marketing at National Semiconductor.

Jessica: Before he founded Sequoia.

Ron: Then he... Before he founded Sequoia.

Jessica: Okay.

Ron: Remember, everything comes from the semiconductor industry.

Jessica: Yes. Wow.

Ron: So Wilf Corrigan-

Jessica: It's at the top of the pyramid.

Ron: Yeah. Wilf Corrigan was just starting LSI Logic. I think Wilf Corrigan was the CEO of Fairchild Semiconductor. That's one of the first ever Semiconductor companies.

Jessica: With the Trader S8, right?

Ron: Yeah.

Jessica: Okay.

Ron: Yeah. Wilf then founded his own semiconductor company called LSI Logic.

Carolynn: Which I did deal with at some point in my career.

Ron: There you go.

Jessica: Oh, wow.

Ron: There you go. So, Don wanted Wilf on the board. So, we had a fastest growing company in America, already profitable, with a killer board of directors, et cetera.

Jessica: So Don Valentine's on the board, too.

Ron: Exactly. And Don Valentine came on the road show with us.

Jessica: Tell me about the road show, and going public. Was it crazy?

Ron: So, it was very crazy. So, by now, I'm in my early thirties, but early thirties, about to become wealthy, and I'm explaining to Gayle, "This is not a normal business trip. I just want you to know, during this business trip, there's going to be articles in the paper, and we are going to become wealthy." She... Topher wasn't even born yet. She has two infants. She's like, "Get in the car, do your normal..." Because I would leave Sunday night or Monday morning. In this case, we had road shows in SF on Monday, and then got on the plane, and then came back Friday. Now, in this case, I said, "I want you to fly to New York," which she agreed to do with one of the kids. Ronnie came to New York.

Jessica: Okay.

Ron: Because I kept saying, "It's a special week, and it's so special, you're going to come back here at the end of the week." So, it ends up, we went public at $21 a share, and what they call the closing dinner, the night before you go public, we went to Club 21 for dinner.

Carolynn: Nice.

Ron: So, lots of good karma all the way around.

Jessica: Yep.

Ron: The stock went from $21 to $44, which was-

Carolynn: On the first day of trading?

Ron: On the first day of trading.

Carolynn: Well, just to be clear, you were probably locked up, right? For six months? Yeah.

Ron: We were absolutely locked up.

Carolynn: I was going to say.

Ron: But we were allowed to sell in the IPO.

Carolynn: Oh. Oh, they put you guys in. That's nice.

Ron: Oh, yeah. Yeah.

Carolynn: Okay. They didn't do that all the time.

Ron: And these days, they didn't think anything of, "Let the founders all sell some." So we all sold some. So we, on this day, became wealthy, and Gayle's like, "You're out of your mind." Except the local bank where the money was deposited, he calls and says, "Hey, we just got a huge deposit." And she goes, "He told me something was up, but I have nothing to do with this."

Carolynn: That's funny.

Jessica: How much money did you make? Do you remember, roughly?

Ron: At the time, it was about $8 million. That was all told.

Jessica: Whoa. Okay.

Ron: I only cashed out probably less than a million.

Carolynn: They probably didn't register... Put all your shares on the registration statement, did they?

Ron: I don't know.

Carolynn: You don't know. Okay.

Jessica: Didn't you tell me once that Dave Jackson, at one point after this IPO, was the wealthiest person in America?

Ron: Dave Jackson was going to be on the cover of Fortune Magazine until they found out he was not a U.S. citizen, and at the time, that was a requirement.

Jessica: Oh, that's so funny.

Carolynn: Oh, wow. Oh my gosh.

Ron: Yeah. And to have that, his net worth was like $250 million. He owned over 60% of the company.

Jessica: Yeah. Wow.

Carolynn: Wow. So, the IPO was a huge success.

Ron: And then things went downhill.

Jessica: What happened then?

Ron: Well, we unwittingly rested on our laurels. By the way, we went public about two years before Apple did. So, we were founded ahead of Apple. So, what you had was us disrupting the minicomputer industry, and then you had this thing called a personal computer disrupting the microcomputer industry, the industry we were in. And now I know the way the people at DEC probably talked about us. We'd look at the personal computer and say, "That's a toy. No one would ever run a business on it. And it's nice, but it's not going to impact us. We'll just keep growing."

Carolynn: Did you take it apart? Like...

Ron: No.

Carolynn: Okay.

Ron: We weren't that curious.

Carolynn: Okay.

Ron: But then the personal computers got connected to this thing called the ethernet, and you could connect one to 100, you name it, personal computers together with each other. That put them squarely against us.

Carolynn: Yeah.

Ron: A business could buy 10 personal computers, put them on the ethernet, and share the data, do their accounting, et cetera. We did not pay attention to that. We were... I hate the word arrogant, so I don't think we were arrogant. We were just aloof, and unaware, which is probably the same definition of arrogant. But, we just didn't believe that it would be this disruptive.

Jessica: The threat didn't seem as threatening.

Ron: Yeah. Yeah. But in fact, these personal computers connected to the ethernet did everything we did, and it did it cheaper. And it did it with software that was much easier to use, because you had the Mac OS.

Carolynn: The software point makes sense, but why was the hardware cheaper?

Ron: They were just further down the learning curve, and could produce many more of them.

Carolynn: Okay.

Ron: And so, now I preach to founders, if you don't disrupt yourself, you will be disrupted. So, we did not disrupt ourselves. I mean, we easily could have, but we didn't. And so, our sales started to flatten out, and we ended up selling the company to Acer Computer.

Carolynn: What year?

Ron: Right around 1990 is when we sold the company.

Jessica: For a good amount? Or...

Ron: No. Well, it was 90 million, which was a step up in the stock price, but nothing of significance.

Jessica: Okay.

Ron: So, because we didn't disrupt ourselves, we got disrupted.

Jessica: Yeah.

Ron: And what blows me away about Google is Google still gets it. Every year they plow billions into search research, so that they don't get disrupted in search. Now, artificial intelligence-

Carolynn: Different story.

Ron: Might be a different story.

Carolynn: Yeah.

Ron: But Google's a 25-year-old company that has not allowed itself to be disrupted because it disrupts itself. So, every company needs to think about that.

Carolynn: You learned the lesson the hard way.

Ron: Yes.

Jessica: Did you ever meet Steve Jobs back in the day?

Ron: I did not. Did not.

Jessica: What about Bill Gates?

Ron: Bill Gates. We did business with Bill Gates.

Jessica: Oh my gosh. Tell us a Bill Gates story.

Ron: So, we had two operating systems, CPM, which at the time was the commercial operating system that had scads of software because anyone could develop with it. We also had the Unix operating system, but Microsoft had built a friendly shell around the Unix operating system called Xenix. And we were the flagship company selling Xenix applications on a microcomputer. So, Steve Ballmer and Bill Gates would come and visit us, and being smart, and wanting to build a relationship, "Will you go to dinner with us?"

And because we traveled so much, "Why would we ever want to go to dinner with you?" Now, going to dinner with Bill Gates is like winning the lottery.

Carolynn: Yeah, exactly. I was going to say.

Ron: Because they were building their company at the same time we were building ours. We had a bug once that was seriously impacting the business. So, I took the floppy disk up to Microsoft the night before. Was standing at the door.

Carolynn: In Kirkland, or where were they at?

Ron: Yeah. Yeah.

Carolynn: Okay. Okay.

Ron: And they were in an office building. I don't know what floor they were on, but it was just a rented space in a piece of a floor in an office building, and we're standing there, and Bill Gates arrives with someone else. "What are you here for?" "Got to fix the bug." "Assume you want us to fix the bug. Well, while you wait?" "That's exactly what we're doing. Fix the bug while we wait."

Carolynn: That's funny. How long did it take to fix the bug?

Ron: But if something disrupted the business...

Carolynn: Yeah, mission-critical.

Ron: We would knock through the walls.

Carolynn: Right, right.

Ron: We were...

Carolynn: So did Bill Gates personally fix the bug, or...

Ron: I actually don't remember. I think he handed the disk and told someone to, "Fix the bug, because we don't need them standing around here, distracting us."

Carolynn: "Because they're making us nervous."

Jessica: Did you know what a success he'd be? Could you tell?

Ron: At this time, no. But within three years, Microsoft was becoming a behemoth. They had hired John Shirley as the CEO of the company. They were on a roll. So, it didn't take long before you knew. And that campus kept growing, building after building, then never stopped building.

Carolynn: Big exception to the whole Silicon Valley thing though, that they did not build in Silicon Valley. And there's probably some great reason why, but I don't know that I know it.

Ron: It's where he's from.

Carolynn: He just built where he is.... He just...

Jessica: He's from Seattle.

Carolynn: Yeah.

Ron: Yeah. Now, funny enough, Bill went to, I think, MIT. But then he ended up-

Jessica: Harvard. He went to Harvard.

Ron: Oh Harvard. Harvard dropped out, but then went to Albuquerque, where Paul Allen... I think something was an attraction in Albuquerque, and it was a group of engineers, from what I remember.

Jessica: I think that's where the company that made the first microcomputer was.

Ron: That's where they started building their first computers. And if I recall, Microsoft might've been incorporated in Albuquerque, but then they knew, "Hey, wait a minute, there's more engineers in Seattle."

Carolynn: In Seattle. Right. Okay.

Ron: And they went back home. Because Paul Allen was from Seattle, too.

Carolynn: In the merger, did you end up employed at Acer?

Ron: Yeah, I ended up employed at Acer, but for a very short period of time.

Carolynn: Not surprised.

Jessica: Yeah. And that still is like today's world.

Carolynn: Yeah.

Ron: That's just like today's ethos.

Carolynn: Yeah.

Jessica: And I was going to ask you, what did you learn from Altos that you still see is true with starting startups today?

Carolynn: Yeah.

Ron: You have to keep disrupting yourself. The other thing that I learned is that the grass isn't always greener. After Altos, I actually acquired a software company, because I had it in my head that software is such an exotic business because you don't have the cost of hardware. So, you have this 60% cost of goods that just goes away. At the time, it's just a floppy disc, and that's your cost of goods. And I go, "That's such an exotic business. I want to be in that business." So I bought a software training company and found out that there is no free lunch, that in software, just so people know that you exist, you end up spending 60% of the cost of goods on marketing.

Carolynn: On marketing.

Ron: Otherwise no one's going to know that your software exists.

Carolynn: Yeah.

Ron: So, there is no easy way out. And that was [inaudible 00:55:00].

Carolynn: Well, but that's your specialty. I mean, you are a sales marketing person originally, so you must have wanted to tackle that.

Ron: Exactly. I had to find out.

Carolynn: That beast. Yeah.

Ron: I found out the hard way.

Jessica: What was the company's name?

Ron: Personal Training Systems, PTS.

Jessica: And how did you find them?

Ron: Somebody I knew said, "Hey, there's this software company for sale." And I go, "Oh my God, that's the most exotic business on earth. I can't wait." I literally couldn't wait to buy this company, because it was apparently on the cheap. And we had a happy ending. We ended up selling it to CBT Systems, which ended up becoming a very positive financial transaction. But the personal experience out of it was not positive.

Carolynn: So how long-

Ron: But I learned a lesson.

Carolynn: How long was that period that you were running that?

Ron: It was about three years.

Carolynn: Okay.

Ron: And in that time, I was talking to Don Valentine, who had become a good friend, and he said, "So what's up next?" And I go, "It's not going to involve me running a company, because I have figured out that I really don't like having people report to me." And he goes, "Well, then you ought to try your hand at this investing business." And invited me on some boards just to be an observer, and watch him give founders advice. Because by then I had founded two companies. Well, I had co-founded one, and bought another. So, I was the owner of that one.

Carolynn: Yeah.

Jessica: Yeah.

Ron: He said, "Come watch how we give founders advice." And I knew I could do that, because I had experience of my own. National Semiconductor, you could almost say it was a startup. It was such early days.

Jessica: Yeah.

Ron: And after doing that, I was hooked.

Jessica: This is such a random question, but you're such an extrovert, and you love relationships, but you didn't want to manage people? You didn't like them reporting to you?

Ron: Yeah, HR issues every day. There's always somebody unhappy, somebody didn't get promoted.

Jessica: Okay. Okay.

Ron: Those issues have to be dealt with.

Jessica: Yes.

Ron: But I didn't want to be the one dealing with them, because I wanted to focus on building the company, and you almost can't do both.

Jessica: Yeah.

Ron: Whereas investing, you're pretty much just giving people advice, and advocating for them, helping build the customer base, everything that we do. But you're not the HR person.

Jessica: So, Ron, when you were at Altos, what other things did you learn there that you took forward in the way you did business?

Ron: What's coming to my mind right now is competitiveness. And now that I think about it, the competitiveness started at National Semiconductor. Even though there were only probably six or seven semiconductor companies, they hated each other.

Jessica: Really?

Ron: And that competitiveness is what would make people work late at night, and we measured ourselves based on the sales that the company produced. So, it was unequivocal what we were measuring against, it was, "Who can grow the fastest?"

Jessica: Who'd you hate the most at National?

Ron: At the time, Texas Instruments.

Jessica: Okay.

Ron: Because California versus Texas, plus, they were growing very, very rapidly. Morris Chang, the chairman of that company, is now at TSMC, which is the biggest fab on earth.

Jessica: Yeah.

Ron: So, there were a lot of good genes inside Texas Instruments. So, I learned competitiveness, and how important it is, and what a motivator it is. There's nothing wrong with it. It's what motivates great founders. And competitiveness is usually measured by sales growth. And nothing wrong with that. It's part of capitalism. But at National Semi, we learned it in spades, and so I took that with me to Altos computer. And at Altos, we had a huge distribution network, but there were also OEM deals, where you could close a deal for 1,000 computers at a time, which was nirvana, like 1,000 computers a quarter. And so I was in charge of competing on those deals, and I was extremely competitive. It's why I traveled a lot. And we won some of the most competitive OEM deals, but we also lost some of them. But that's where I really honed in on my competitive prowess. And even today, I hate losing anything.

Carolynn: Okay, a little-

Ron: Especially in business

Carolynn: ... Armchair psychology. You're one of 12 kids. How competitive are your siblings?

Ron: Everyone's competitive, because you had to be competitive. Very, very good observation.

Carolynn: I was going to say, resources.

Jessica: Get your tuna sandwich.

Carolynn: Yeah.

Ron: Competitiveness was in the upbringing.

Carolynn: Yeah. Okay.

Ron: Yes, for sure.

Carolynn: And as adults, do you have some of your siblings, do you see this competitiveness in their careers as well?

Ron: Some. Not as much as myself, but some.

Carolynn: Yeah. Okay. Okay. I'm wondering, do you have other anecdotes, or things you did at National that were interesting?

Ron: Well, one thing that happened at National, which kind of made me aware of how important politics and policy are, while at National, and once again, I'm in my late 20s, and I think because I was an economic research analyst, and had done some of that research in D.C., and met with the Federal Reserve, the company built the first LED-based watch module. So, the very first electronic watch ever was built by National Semiconductor, with LEDs.

Carolynn: Like a side project?

Ron: No, no. They wanted a consumer business.

Carolynn: A consumer product, okay.

Ron: A consumer brand.

Carolynn: Okay.

Ron: As these companies grow. They all want to be a consumer brand.

Carolynn: Ah, okay.

Ron: And so National was the first to mass produce calculators. Now, Hewlett-Packard was first with scientific calculators. National Semiconductor produced LED-based calculators by the tons.

Carolynn: But branded as National?

Ron: Branded National Semiconductor.

Carolynn: So they didn't have a new brand for the consumer?

Ron: No.

Carolynn: Okay. Wow. Wow.

Ron: They did a cash register division with a different name, but the consumer stuff was a National Semiconductor calculator, and a National Semiconductor LED watch. And these took off. Everyone loved these.

Carolynn: Oh, yeah.

Ron: Well, the Swiss did not like these. And the Swiss had a giant watch lobby in Washington D.C., and proposed a bill that almost got passed to put a tariff on LED electronic watches, so they would cost more than an Omega, or a Timex or any other watch. It was like a 30% tariff.

Carolynn: And were they lobbying both sides of the aisle for this, or is this like a Republican or-

Ron: Oh, I don't even remember if the House and Senate, what party.

Carolynn: Yeah.

Ron: But yeah, they were lobbying both sides.

Carolynn: Okay.

Ron: And this bill had a huge head of steam.

Carolynn: Oh, wow.

Jessica: Oh my gosh.

Ron: It was going to pass. So Charlie Sporck walks up to me one day and he goes, "Hey, you were in D.C., and you predicted the recession. We have a bigger situation. We got to block this bill." I don't know anything about lobbying, but remember this guy's... And usually with a cigar hanging out of his mouth, remember if...

Carolynn: Because you could smoke.

Ron: You don't produce, you could get picked up, literally.

Carolynn: In the windowless building.

Ron: And I watched it enough. I go, "If I don't answer this right, I'm going to get picked up and thrown out." And I loved the company.

Carolynn: Yeah.

Ron: He said, "Get on a plane, and go to D.C., and stop that bill, and do not come back until it does."

Jessica: Oh my God, I'd crumble at that.

Carolynn: And you're like 25, 26?

Ron: Yeah. I'm 26.

Carolynn: Wow.

Ron: So, I did the research on what committee the bill was in. A lot of it's instinctive. Whatever committee it is, go talk to every single person on that committee.

Carolynn: Yeah.

Ron: Well, then I used my competitiveness, and persistence to go meet every senator, and every member of Congress. Congress was easier. Senate was harder. There's fewer of them. Their schedules are more packed.

Jessica: They met with you?

Ron: The ones who didn't meet with me, I would stand out beside the office, when it comes time to vote, they have to leave to go vote. Right? And you just walk with them.

Carolynn: Yeah. That still happens today. You see it sometimes on the news.

Ron: Yeah. Yeah.

Carolynn: Yeah.

Ron: And back then, it was like, "Hey, if the person thinks that's important, I'll listen to them while I walk."

Jessica: Yeah.

Carolynn: And I can't imagine. You're like, "Hey, are we choosing Switzerland over the United States?" How hard was that?

Ron: It was pretty...

Carolynn: Yeah, compelling.

Ron: We had a very compelling argument.

Carolynn: Yeah.

Ron: But, everyone... People were afraid of innovation. "What are these things?" A lot of these senators preferred the analog.

Carolynn: "Kids will never learn how to tell time if we let them just look at it."

Ron: Exactly. That argument was...

Carolynn: Was for real.

Ron: Was out there.

Carolynn: Wow.

Jessica: Wow.

Ron: So, I took up residence in the Hilton, the Hilton in Washington, D.C., and I was there for two weeks, and then I called my boss and I said, "Do you think he was serious? I don't want to stay here another weekend." At the time I was dating Gayle, and my boss said, "Oh, no. Oh, no."

Carolynn: "Don't come home."

Ron: "If he sees you in the building or knows you left D.C., even on a weekend, you're fired."

Carolynn: Oh my gosh.

Jessica: Oh my God.

Ron: I go, "That's fine." Gayle flew to D.C.

Carolynn: That's nice.

Ron: Instead. This culminated in a hearing at the committee, where they listened to both sides, and I sat up with Charlie Sporck, and Floyd Kvamme, at the hearing. I did not speak, but they flew in the day before. I completely prepped them.

Carolynn: Yeah. You'd gotten them an invitation. You'd made sure that you got them to be at the hearing to... Okay. All right.

Ron: Exactly. And the bill failed at that hearing.

Jessica: No way.

Carolynn: You must've been sweating bullets.

Ron: And then I got to go home.

Jessica: What did Charlie Sporck say to you? Like, "Job well done?"

Ron: Yes. Yes. And he was thorough, and at the dinner we had when we prepped, he said, "You're doing a good job here."

Carolynn: Oh, that's nice.

Ron: "Because I feel like we can win." And also, of course, the general counsel was at the hearing too.

Jessica: Okay.

Carolynn: Yeah. Yeah.

Jessica: Wow.

Carolynn: Wow.

Jessica: So your interest in politics goes way back.

Ron: Yeah. So it didn't get me interested in politics, but it got me experience in politics, and understanding how politics can have an impact on industry. Another thing that came out of National Semiconductor that in hindsight was life-changing, is over the span of time, the senior executives at National Semiconductor, who were already a lot older than me when I got there, retired. And the semiconductor executives from all of the industry who retired, started a group called the Band of Angels, because they wanted to Angel invest in early stage technology companies in the Bay Area as their next hobby. So, they asked me to join when I was at Personal Training Systems, and I could not wait to go to a monthly meeting with all these senior executives who I looked up to, and be their crony, and bring investments for the Band of Angels to consider. So, it kept me connected to the semiconductor industry, and the Band of Angels has funded like 1,000 companies.

Jessica: Wow.

Carolynn: Yeah.

Ron: And it was the very first ever in the United States organized group of angel investors.

Carolynn: I remember hearing about it early in my legal career, but what I don't remember. Did you guys invest individually, or did the bank?

Ron: We would invest individually.

Carolynn: Okay. So if you all loved an investment, you'd all be on the cap table?

Ron: We'd all be on the cap table.

Carolynn: Okay. Okay.

Jessica: And were there some people that invested, but they just went?

Ron: And we didn't mind, as long as they were entertaining.

Carolynn: Okay.

Jessica: Yeah. Yeah.

Ron: But it was founded by Hans Severns, who came out of a semiconductor company, and then Fred Hoare, who was the first PR person ever at Apple. But most of it was semiconductor executives.

Jessica: Yeah.

Carolynn: Okay.

Ron: But the two of them would stand up, and do like a Johnny Carson monologue at the beginning of every meeting at Chantilly in Palo Alto.

Carolynn: Chantilly.

Jessica: I love Chantilly, and it's very important in Y Combinator's history.

Carolynn: Yeah, yes it is. Yes, it is.

Jessica: We'd have our big dinners at Chantilly.

Ron: Right above Cafe Cooper.

Jessica: Yes.

Carolynn: Yes.

Jessica: Yes.

Carolynn: Yes.

Ron: Yeah. Before they moved.

Jessica: Oh no.

Ron: That was before they moved to Atherton.

Jessica: Oh.

Carolynn: Oh no, you were in Atherton.

Jessica: That's Chantilly Classic.

Carolynn: That was above Coupa Cafe in Palo Alto?

Ron: And above Stripes First office. Where TCV is today, was the Chantilly... Well, the ground floor is Cafe Coupa, of Chantilly, but the private dining room that fit 50 of us was on the second floor, right above it.

Jessica: Wow.

Ron: We would start with a monologue, that every month got funnier, because we built up more material, and then we would have the companies that we were going to invest in coming up here. It was once a month, and you couldn't wait to get there for cocktail hour.

Jessica: Yeah.

Carolynn: Yeah.

Ron: Then hear the monologue between Fred and Hans, and everyone's heckling. And then a couple of founders come in, and everyone chips in.

Jessica: How would you find the founders? How would you bring deals?

Ron: All of us had a certain amount of deal flow.

Jessica: Okay.

Ron: I ended up having the most deal flow, because I was one of the younger guys, but everyone bought deal flow. We always had one or two companies per meeting, and we would listen to them, and joke with the founders, but they'd walk out with $100,000.

Carolynn: I was just going to say, what size checks were you guys writing?

Ron: Whatever anyone wanted to put in. But typically like $10,000 each.

Carolynn: $10,000. Yeah.

Ron: So the founder would leave... The founder was delighted. They watched a bunch of semiconductor executives get drunk, and they walked out after giving a 15-minute pitch with $100,000. It was win-win for everybody.

Carolynn: Yeah. Yeah.

Ron: And Gus... So, you'd have this hysterical monologue, and then Gus would come in and tell us what we're having for dinner.

Jessica: The owner of Chantilly.

Ron: The owner of Chantilly, he's a comedian in his own right. So you'd finish the monologue, you've already laughed so much you can't see straight. And then Gus comes in, and Gus would try and outdo the monologue, just describing the food. And if people weren't quiet, "Gentlemen, do you want to eat? I'm the chef. I'm not leaving until I get to present what we're having for dinner." And then he'd come up for each course, and then describe the course with tons of jokes.

Carolynn: I have a dorky legal question. So, you'd write the checks, the founder would leave with a stack of checks, and then the lawyers would then send you the documents to review and sign?

Jessica: I knew you were going to ask about this.

Carolynn: You knew I wanted to know this, right?

Ron: I guess. I don't think we even asked.

Carolynn: Did you ever sign anything besides the-

Ron: I don't remember signing a thing.

Carolynn: But you do remember-

Ron: I think we must've had some deal where, "If it's successful, let us know."

Carolynn: Oh, that's so great.

Jessica: Oh my God.

Carolynn: But you did have successes with those, I'm assuming?

Ron: Oh, yeah, yeah, yeah.

Carolynn: Okay.

Ron: Yeah. Yeah.

Jessica: From Band of Angels, do you remember which was a big hit?

Ron: I don't.

Jessica: Okay. We probably should start wrapping up.

Carolynn: Okay.

Jessica: Because this is actually a really good ending point.

Carolynn: Yeah.

Jessica: Because then we're going to start with all of your investing.

Carolynn: Yes.

Jessica: This has been so fascinating.

Carolynn: Yes.

Jessica: Hearing about all the details that I didn't know in Ron Conway's life, before he became what he's most famous for.

Carolynn: And what's funny is the names, they're familiar, but then you've tied them all together, and put them in context, and in chronological order, which is great.

Jessica: And so the next time we meet up to talk, we're going to get really into the interesting information about all of Ron's angel investments.

Carolynn: Excellent.

Ron: And the very first one was an AI company.

Carolynn: Oh wow.

Jessica: Oh boy. This will be timely. Teaser. Excellent. Well, Ron, thank you so much for talking to us today. I had so much fun.

Carolynn: Thank you.

Ron: It's a pleasure.

Jessica: Thank you, Ron.

Ron: It's a pleasure. A lot of fun.

Jessica: I can't wait to resume for the next one.

Ron: Awesome.

Carolynn: Yep. Looking forward to it.

Jessica: All right. See you. Bye.

Carolynn: Bye.